

**UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF NEW YORK**

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In re:	:	Chapter 11
	:	
ENRON CORP., <i>et al.</i>,	:	Case No. 01-16034 (AJG)
	:	
Debtors.	:	Jointly Administered
	:	
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APPENDIX A

(Certain Defined Terms)

to

**FINAL REPORT OF NEAL BATSON,
COURT-APPOINTED EXAMINER**

Reference is made to the preceding Final Report of Neal Batson, Court-Appointed Examiner (the "Report" or the "Final Report"). This Appendix constitutes an integral part of the Final Report.

CERTAIN DEFINED TERMS

Certain terms utilized in this Final Report are defined as follows:

"3% Equity Test," as further described in the Accounting Standards Appendix, means the primary test utilized under the SPE Accounting Consolidation Analysis to determine whether independent equity interests owned in an SPE are sufficient to indicate that the SPE should not be consolidated with its sponsor or other person benefiting from the SPE.

"A&B" means Alston & Bird LLP, attorneys to the Examiner.

"AICPA" means American Institute of Certified Public Accountants.

"APB" refers to Opinion of the Accounting Principles Board.

"ARB" refers to Accounting Research Bulletin.

"ASR" means SEC Accounting Series Release.

"Accounting Standards Appendix" refers to Appendix B to the Second Interim Report.

"Andersen" means Arthur Andersen LLP, Enron's former accounting firm, and its affiliates.

"Andrews & Kurth" means Andrews & Kurth L.L.P.

"April 8th Order" refers to the Order of the Court, dated April 8, 2002, authorizing and directing the appointment of an examiner pursuant to 11 U.S.C. § 1104(c).

"Audit Committee" refers to the Audit and Compliance Committee of the Enron Board responsible for reviewing Enron's accounting and compliance programs, and liaising with Andersen in connection with the audits of Enron's financial statements.

"BT/Deutsche" means Deutsche Bank AG and its affiliates and predecessors.

“BT/Deutsche Tax Transactions” means the transactions referred to as Cochise, Teresa, Steele and Tomas in Appendix G (Role of BT/Deutsche and its Affiliates) to the Third Interim Report.

“Back Levering” or *“Back Leveraging”* means the practice of borrowing against or otherwise financing the purchase of an equity investment in an SPE.

“Bank Presentation” refers to the presentation made by senior Enron executives to certain of Enron’s bankers on November 19, 2001, at a meeting held at the Waldorf Astoria in New York, New York.

“Bankruptcy Case” refers collectively to the Debtors’ Chapter 11 cases currently pending before the Court.

“Bankruptcy Code” means Title 11 of the United States Code.

“Barclays” means Barclays Bank PLC and its affiliates and predecessors.

“Basic Accounting Consolidation Analysis,” as further described in the Accounting Standards Appendix, means the analysis employed to determine whether a person that owns a controlling financial interest in an entity should consolidate that entity’s financial statements with its own.

“CIBC” means Canadian Imperial Bank of Commerce and its affiliates and predecessors.

“CIBC World Markets” means CIBC World Markets Corp. and its affiliates and predecessors.

“COPS” means company obligated preferred stock.

“CSFB” means Credit Suisse First Boston Inc. and its affiliates and predecessors.

“*CalPERS*” means California Public Employees’ Retirement System, a unit of the State and Consumer Services Agency of the State of California.

“*Causey*” means Richard A. Causey, Enron’s former Chief Accounting Officer.

“*cash flow[s] from operating activities*,” “*Net Cash Provided by Operating Activities*,” “*cash flow[s] from operations*,” “*operating cash flow[s]*” and similar terms and phrases all refer to “Net Cash Provided by Operating Activities” as shown in Enron’s audited Consolidated Statement of Cash Flows and the equivalent concept on interim unaudited financial statements. This concept differs from “Funds Flow from Operations,” defined below.

“*Chase Securities*” means Chase Securities Inc. and its affiliates and predecessors.

“*Chewco*” means Chewco Investments, L.P., a limited partnership owned and managed by Kopper.

“*Citibank*” means Citibank, N.A. and its affiliates and predecessors.

“*Citigroup*” means Citigroup, Inc. and its affiliates and predecessors.

“*Court*” means the United States Bankruptcy Court for the Southern District of New York.

“*Creditors’ Committee*” means the Official Committee of Unsecured Creditors appointed in the Bankruptcy Case.

“*D&T*” means Deloitte & Touche LLP, accountants engaged to advise the Powers Committee.

“*DLJ*” means Donaldson, Lufkin & Jenrette, Inc. and its affiliates and predecessors.

“Debtors” refers to Enron and all of its affiliates that have filed voluntary petitions for relief under the Bankruptcy Code with the Court.

“Derrick” means James Derrick, Enron’s former General Counsel.

“Dodson” means William D. Dodson, an investor in certain Related Party Transactions.

“Duff & Phelps” means Duff & Phelps Credit Rating Co.

“E&Y” means Ernst & Young LLP, accountants engaged to advise the Creditors’ Committee.

“EITF” refers to Consensus Positions of the Emerging Issues Task Force.

“ENA” means Enron North America Corp. (f/k/a Enron Capital & Trade Resources Corp.).

“ENA Examiner” means Harrison J. Goldin, appointed as the examiner of ENA in its bankruptcy case by Order of the Court dated March 12, 2002.

“Enron” means Enron Corp.

“Enron Board,” “Enron Board of Directors” or *“Board”* refers to the Board of Directors of Enron.

“Examiner” means Neal Batson, appointed by the United States Trustee on May 22, 2002 as the examiner contemplated by the April 8th Order and approved by the Court by Order dated May 24, 2002.

“FAC” means FASB Statement of Financial Accounting Concept.

“FAS” refers to FASB Statement of Financial Accounting Standard.

“FAS 57 Related Party,” as further described in the Accounting Standards Appendix, means an individual or entity deemed to be related to another person as

defined in FAS 57. A FAS 57 Related Party is subject to certain disclosure rules, its equity is not considered to be “independent” when applying the 3% Equity Test, and its participating rights may be deemed nonsubstantive under the Participating Rights Test.

“*FAS 140 Transactions*” means those sales of financial assets by Enron to an SPE, intended to comply with either Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities, Statement of Financial Accounting Standards No. 125 or its successor, Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities, Statement of Financial Accounting Standards No. 140.

“*FASB*” refers to Financial Accounting Standards Board.

“*FIN*” refers to FASB Interpretation.

“*FTB*” refers to FASB Technical Bulletin.

“*Fastow*” means Andrew S. Fastow, Enron’s former Executive Vice President and Chief Financial Officer.

“*Final Report*” or “*Report*” refers to the Final Report of Neal Batson, Court-Appointed Examiner dated November 4, 2003.

“*Finance Committee*” refers to the Finance Committee of the Enron Board responsible for approving major transactions, overseeing Enron’s risk management efforts and providing guidance on Enron’s financial decisions and policies.

“*First Interim Report*” means the First Interim Report of Neal Batson, Court-Appointed Examiner dated September 21, 2002.

“*Fitch*” means FitchRatings, Inc. and its affiliates and predecessors, including Duff & Phelps.

“*Fleet*” means Fleet National Bank and its affiliates and predecessors.

“Forest Products Transactions” means four transactions completed by Enron relating to its forest products business, including: (i) transactions referred to as Fishtail and Bacchus, each of which closed in December 2000; (ii) a transaction referred to as Sundance Industrial (or simply “Sundance”), which closed on June 1, 2001; and (iii) a transaction referred to as Slapshot, which closed on June 22, 2001.

“Funds Flow from Operations” or *“funds flow”* means a component of three of Enron’s key credit ratios (funds flow interest coverage, pre-tax interest coverage, and funds flow from operations to total obligations) and equals Net Cash Provided by Operating Activities, plus increases in working capital, or less decreases in working capital.

“GAAP” means generally accepted accounting principles in the United States and as described in SAS 61.

“Glisan” means Ben F. Glisan Jr., a former Enron employee.

“ISDA” means International Swap and Derivatives Association.

“JEDI” means Joint Energy Development Investments Limited Partnership, an investment partnership originally owned by Enron and CalPERS and, following the redemption of CalPERS’ interest, by Enron and Chewco.

“JEDI II” means Joint Energy Development Investments II Limited Partnership, an investment partnership between CalPERS and Enron.

“JPMorgan Chase” means JPMorgan Chase Bank (formerly Chase Manhattan Bank) and its affiliates and predecessors.

“K&E” means Kirkland & Ellis LLP.

“Kopper” means Michael J. Kopper, a former Enron employee.

“*LJM1*” means LJM Cayman, L.P., a private investment limited partnership.

“*LJM1/Rhythms Hedging Transaction*” or “*Rhythms Hedge*” means that non-economic hedge executed in June 1999 between Enron and Swap Sub, designed to protect the mark-to-market income Enron had recorded on account of its equity stake in Rhythms.

“*LJM2*” means LJM2 Co-Investment, L.P., a private investment limited partnership.

“*LJM2/Raptors Hedging Transactions*” or “*Raptors Hedges*” means those four non-economic hedges of certain of Enron’s merchant investments executed in 2000 between Enron and the Raptor SPEs.

“*Lay*” means Kenneth L. Lay, Enron’s former director, Chairman of the Board of Directors and Chief Executive Officer.

“*Lehman*” means Lehman Brothers Holdings Inc. and its affiliates and predecessors.

“*MD&A*” means the section entitled Management’s Discussion and Analysis of Financial Condition and Results of Operations, which appeared in Enron’s Forms 10-K and 10-Q filed with the SEC.

“*MTM*” means mark-to-market accounting.

“*McMahon*” means Jeffrey J. McMahon, a former Enron employee.

“*Merrill Lynch*” means Merrill Lynch, Pierce, Fenner & Smith Incorporated and its affiliates and predecessors.

“*mezzanine*” refers to the part of the balance sheet appearing after liabilities and before shareholders’ equity and would include such interests as minority interest and COPS.

“*Milbank*” means Milbank, Tweed, Hadley & McCloy LLP, co-counsel to the Creditors’ Committee.

“*Minority Interest Transactions*” means a financing undertaken by Enron in which the amount financed was reflected on Enron’s balance sheet as a minority interest in a consolidated subsidiary, rather than as debt.

“*Mintz*” means Jordan Mintz, former General Counsel to Enron Global Finance.

“*monetize*” refers to the manner in which Enron was able to generate cash immediately from an asset through the use of a structured finance transaction involving an SPE.

“*Moody’s*” means Moody’s Investors Service, Inc.

“*Newby Class Action*” means *Newby v. Enron Corp.*, No. 01-CV-3624 (S.D. Tex. filed Oct. 22, 2001), a lawsuit alleging, among other things, violations of securities laws.

“*New Power Company*” means The New Power Company, a wholly owned subsidiary of NewPower Holdings, and currently a Chapter 11 debtor in the United States Bankruptcy Court for the Northern District of Georgia, Newnan Division.

“*NewPower Holdings*” means NewPower Holdings, Inc., formerly known as TNPC, Inc., and currently a Chapter 11 debtor in the United States Bankruptcy Court for the Northern District of Georgia, Newnan Division.

“*Outside Directors*” means all of the members of Enron’s Board who served during the period 1997 to the Petition Date other than Lay and Skilling.

“PSI” refers to the Permanent Subcommittee on Investigations of the Committee on Governmental Affairs, United States Senate.

“PSI Forest Products Report” means PSI Report on Fishtail, Bacchus, Sundance and Slapshot: Four Enron Transactions Funded and Facilitated by U.S. Financial Institutions, Jan. 2, 2003.

“PSI Prepay Report” means The Role of Financial Institutions in Enron’s Collapse (Day One): Hearings before the Permanent Subcomm. on Investigations of the Senate Comm. of Governmental Affairs, 107th Cong. (July 23, 2002).

“PWC” means PricewaterhouseCoopers LLP.

“Participating Rights Test,” as further described in the Accounting Standards Appendix, means an examination of the governance rights held, typically, by a minority owner of an entity to be considered in determining whether accounting consolidation of the entity is appropriate under the Basic Accounting Consolidation Analysis.

“Petition Date” means December 2, 2001, the date of the initial bankruptcy filings.

“Plante & Moran” means Plante & Moran, PLLC, an accounting firm engaged to advise the Examiner.

“Powers Committee” refers to the Special Investigative Committee formed by the Enron Board and headed by William Powers, Jr., Dean of the University of Texas Law School, to examine and recommend actions with respect to transactions between Enron and entities connected with related parties.

“Powers Report” refers to that certain Report of Investigation by the Powers Committee, released February 1, 2002.

“Prepay Transactions” means those structured commodity transactions engaged in by Enron under which it would (i) deliver (or pay the financial equivalent of) a commodity in the future in exchange for a single prepayment from a conduit entity or other counterparty, (ii) repay the prepayment over time, with a fixed amount of interest, through a prepaid forward contract or swap, and (iii) receive the precise amounts of commodities (or the financial equivalent) it had contracted to deliver, such that effectively all commodity price risk was eliminated and the lump sum prepayment was repaid with interest.

“Prior Reports” means, collectively, the First Interim Report, the Second Interim Report and the Third Interim Report.

“RBS” means The Royal Bank of Scotland plc and its affiliates and predecessors.

“Raptor SPEs” as described in Appendix L (Related Party Transactions) to the Second Interim Report means the SPEs used by Enron in an attempt to hedge certain investments.

“Rating Agencies” means rating agencies that from time to time provided credit ratings on Enron’s unsecured credit, including Moody’s, S&P, Fitch and Duff & Phelps.

“Related Party Transactions” means those transactions between Enron and certain entities such as Chewco, LJM1 and LJM2, which were controlled by Fastow, Kopper, Glisan or other Enron employees or their associates.

“Reports” means, collectively, the First Interim Report, the Second Interim Report, the Third Interim Report and the Final Report.

“Rhythms” means Rhythms NetConnections, Inc.

“S&P” means Standard & Poor’s Credit Information Services.

“*SAB*” refers to SEC Staff Accounting Bulletin.

“*SAS*” means AICPA Statement of Auditing Standard.

“*SEC*” refers to the United States Securities and Exchange Commission.

“*SOP*” refers to Statement of Position of the AICPA.

“*SPE*” has the meaning given in the April 8th Order. When used in connection with the application of the SPE Accounting Consolidation Analysis, the term SPE usually refers to an entity or commercial arrangement with a limited duration and a limited purpose, usually designed to benefit a single person, although SPE is not defined under GAAP.

“*SPE Accounting Consolidation Analysis*,” as further described in the Accounting Standards Appendix, means the analysis employed to determine whether an SPE should be consolidated with a person that the SPE is designed to benefit.

“*Salomon*” means Salomon Smith Barney Inc. and its affiliates and predecessors.

“*Salomon Holding*” means Salomon Brothers Holding Company and its affiliates and predecessors.

“*Second Interim Report*” means the Second Interim Report of Neal Batson, Court-Appointed Examiner dated January 21, 2003.

“*Share Trust Transactions*” means transactions in which an Enron-controlled entity would raise funds via off-balance sheet financing, and use the proceeds to acquire or refinance assets owned by Enron or its affiliates, with the repayment of the financing supported by Enron preferred stock, Enron notes and related contractual obligations of Enron.

“Skadden, Arps” means Skadden, Arps, Slate, Meagher & Flom LLP, special counsel to the Debtors in the Bankruptcy Case.

“Skilling” means Jeffrey K. Skilling, Enron’s former director, President and Chief Operating Officer.

“Squire, Sanders” means Squire, Sanders & Dempsey L.L.P., co-counsel to the Creditors’ Committee.

“Sufficient Equity Requirement,” as further described in the Accounting Standards Appendix, means a test utilized under the Participating Rights Test in the Basic Accounting Consolidation Analysis to determine whether a holder of participating rights has sufficient equity to demonstrate that those participating rights are substantive.

“Swap Sub” means LJM Swap Sub, L.P., a limited liability partnership owned by LJM1, which was used in connection with the Rhythms hedging transactions.

“Tax Transactions” means the transactions referred to as Steele, Cochise, Teresa, Condor, Tammy I, Renegade, Valhalla, Tomas, Apache, Tanya and Valor in Appendix J (Tax Transactions) to the Second Interim Report.

“Third Interim Report” means the Third Interim Report of Neal Batson, Court-Appointed Examiner dated June 30, 2003.

“Topic” refers to Industry Practices Widely Recognized and Prevalent as determined by the EITF.

“Toronto Dominion” means Toronto Dominion Bank and its affiliates and predecessors.

“Total Return Swap” typically refers to a swap transaction, documented by standard agreements published by ISDA, where one party agrees to pay the other the

“total return” (e.g., dividends, interest and any appreciation in value) of a defined underlying asset (which may be an equity interest, a debt obligation or another asset), usually in return for a fixed payment stream, typically tied to an interest rate index. In the case of certain of Enron’s SPE transactions, notably the FAS 140 Transactions, the term refers to a swap transaction pursuant to which Enron was entitled to receive the total return of an asset transferred by Enron to an SPE (whether by sale of the asset or otherwise) and agreed to make payments to its counterparty (usually the SPE holding the reference asset or the lenders to the SPE) equal to the scheduled principal and interest payments on the amounts borrowed by the SPE under a credit facility to acquire the asset. In these instances, the Total Return Swap was the functional equivalent of a guaranty of the loan to the SPE.

“*underwriter*” refers to a financial institution that arranges for the sale or distribution of an issuer’s securities (equity and debt) to third parties. It includes private placements but does not include syndications of commercial loans.

“*Vinson & Elkins*” means Vinson & Elkins, L.L.P.

“*Watkins*” means Sherron S. Watkins, a former Enron employee.

“*Watkins Investigation*” means the investigation performed by Vinson & Elkins at the direction of Derrick into certain issues raised in correspondence from Watkins to Lay in August 2001 relating to Enron’s SPEs.

“*Weil*” means Weil, Gotshal & Manges LLP, the Debtors’ restructuring lawyers.

“*West LB*” means Westdeutsche Landesbank Girozentrale, London Branch and its affiliates and predecessors.

"Wilmer Cutler" means Wilmer, Cutler & Pickering, counsel to the Powers Committee.

In addition to the terms set forth above, to the extent a term is defined in any Appendix to this Final Report, such defined term shall apply for all Annexes to that Appendix.